

The natural rate of output

Often governments try to engineer short-term boosts in output and reduce unemployment, but many economists believe that economies have 'natural' levels of output and employment that apply over longer timescales. One idea associated with the concept is that governments can't push output and employment above the natural level for very long without generating inflation.

Anything that affects the ability of the economy to produce goods and services will cause the natural rate to change over time. Higher supplies of the basic inputs of production – labour and capital – will enhance economic capacity and cause it to rise. A greater stock of skills among workers will also do this. Over time, technological progress also has a huge impact on an economy's natural rate of output. Institutional features of markets can also influence the natural rate: one of the drivers of economic policy in the 1980s was the idea that reducing market regulation would make it easier for firms to produce.

